Indonesia Data Centre Sector

Fiscal Cost of Tax Incentives — Portfolio Summary

45 Facilities (23 Operational | 12 Under Construction | 10 Planned) | March 2026

IDR 373.9T	**IDR 118.2T**	**IDR 19.1T**	**IDR 0.8T**	**IDR 138.1T** Total Investment
Tax Holiday Cost	Super Deduction Cost	SEZ VAT Exemption	**Grand Total Fiscal Cost** (USD 24.1B)	(over holiday periods)
(6 yrs post-holiday)	(Nongsa KEK only)	(all incentives combined)		

FISCAL COST BREAKDOWN BY INVESTMENT TIER (PMK 69/2024)

Investment Tier	N	Investment (IDR T)	Holiday Years	Holiday Cost (IDR T)	Super Ded. Cost (IDR T)	VAT (IDR T)	Total (IDR T)
Below IDR 100B	2	0.14	0	0.000	0.000	0.000	0.000
IDR 100B–500B	2	0.64	5	0.043	0.042	0.018	0.103
IDR 500B–1T	3	2.34	5	0.157	0.079	0.000	0.236
IDR 1T–5T	19	47.72	7	6.379	2.283	0.119	8.781
IDR 5T–15T	14	98.36	10	18.460	4.616	0.659	23.735
IDR 15T–30T	2	41.85	15	9.458	1.577	0.000	11.035
Above IDR 30T	3	182.90	20	83.737	10.468	0.000	94.205
Grand Total	**45**	**373.95**	—	**118.234**	**19.065**	**0.796**	**138.095**

Holiday Cost = investment × 12% profit × CIT forfeited rate × holiday years. *Super Ded. Cost* = investment × 5% × CIT forfeited rate × 6 years. *VAT* = investment × 35% × 11% (KEK Nongsa facilities only).

GOVERNMENT REVENUE FOREGONE: ANNUAL COST AND 20-YEAR PROJECTION

Incentive	Annual Cost (IDR T/yr)	% of GDP (2024 GDP)	20-Year Total (IDR T)	Notes
Tax Holiday (CIT)	7.613	0.034%	118.234	Avg. run-rate; max 20-yr holiday
Super Deduction (PP 78)	3.174	0.014%	19.044	6 yrs post-holiday; 5%/yr deduction
SEZ VAT Exemption (Nongsa)	0.265	0.001%	0.796	One-off; amortised over 3-yr build
Grand Total	**11.052**	**0.050%**	**138.074**	All incentives combined

Annual cost for Tax Holiday = sum of (investment × 12% × CIT forfeited rate) across all facilities with an active holiday. *Annual cost* for Super Deduction = sum of (investment × 5% × CIT forfeited rate) during the 6-year deduction window. *Annual cost* for SEZ VAT = total exemption (IDR 0.796T) ÷ 3 years assumed construction period. Indonesia 2024 nominal GDP = IDR 22,139T (BPS). 20-year totals reflect full contractual periods, not a uniform 20-year stream.

PILLAR 2 BEPS IMPACT ON FISCAL COST

Pillar 2 Status	Facilities	CIT Forfeited	Holiday Cost	Super Ded. Cost	VAT	T
In scope (revenue >750M, margin >10%)	18	7% above 15% floor	14.024	2.622	0.119	**16**
Not in scope	27	22% full statutory	104.210	16.443	0.677	**121**
Total	**45**	—	**118.234**	**19.065**	**0.796**	**138**

Pillar 2 in-scope entities pay a minimum 15% effective CIT globally; Indonesia forfeits only 7% (22%−15%), as the home jurisdiction collects the top-up tax. Non-Pillar 2 entities pay 0% during the holiday: Indonesia forfeits the full 22% statutory rate.

TOP 5 FISCAL COST EXPOSURES

Facility	Operator	P2	Holiday Cost	Super Ded.	Total (IDR T)
CGK4 Jatiluhur (500 MW)	BDx Indonesia	No	40.920	5.115	**46.035**
CGK Campus (500 MW)	Digital Edge (Indonet)	No	36.828	4.604	**41.432**
JC3 (120 MW)	Princeton Digital	No	6.138	1.023	**7.161**
Cikarang DC (144 MW)	DAMAC Digital	Yes	5.989	0.749	**6.738**
Indonesia Central Cloud Region	Microsoft	Yes	3.320	0.554	**3.874**

BDx and Digital Edge together account for **IDR 87.5T** (63%) of the grand total fiscal cost, driven by 500 MW capacity commitments on 20-year holidays with no Pillar 2 constraint.

Methodology & Key Assumptions

Indonesia Data Centre Fiscal Cost Analysis — March 2026

A. INVESTMENT VALUES

1. **Primary sources:** Confirmed investment figures are drawn from operator press releases, project financing announcements (DBS/UOB, BCA, IIF, green-loan facilities), CEO statements, and due-diligence media (Data Centre Dynamics, Jakarta Globe, Kontan).
2. **Imputation for undisclosed values:** Where no public figure exists, investment is estimated using a tiered cost-per-MW model: Tier IV at USD 10M/MW (confirmed from DCI Deputy President benchmark); standard Tier III at USD 6.5M/MW (weighted average across 8 confirmed anchor points); legacy Tier III (<2015) at USD 4–5M/MW.
3. **Reference investment for tax computations:** For operational facilities, `investment_idr_trillion` is used. For Under Construction and Planned facilities, `planned_investment_idr_trillion` is used. For K2 JKT1 (both columns populated), the larger full-campus planned value (IDR 5.92T) is applied as it represents the total committed project.
4. **Exchange rate:** IDR 15,500 / USD 1 (March 2026 spot mid-rate).

B. PROFITABILITY ASSUMPTION

5. **Annual profit = investment × 12%.** This is a sector-level approximation of steady-state EBIT margin on total capital deployed, consistent with published Tier III/IV hyperscale data centre benchmarks (typical range: 10–15% EBIT on invested capital).
6. This is a simplification: it ignores ramp-up periods, capital recycling, leverage effects, and asset-light structures (e.g. Oracle leasing from DayOne).

C. TAX HOLIDAY (PMK 69/2024)

7. **CIT statutory rate:** 22% (Indonesia corporate income tax, effective from FY2023 onward under UU HPP).
8. **Tiered holiday structure** (from PMK 69/2024, amending PMK 130/PMK.010/2020):
   - Below IDR 100B: no holiday (below threshold)
   - IDR 100B–500B: 50% CIT reduction, 5 years
   - IDR 500B–1T: 100% CIT reduction, 5 years
   - IDR 1T–5T: 100% reduction, 7 years
   - IDR 5T–15T: 100% reduction, 10 years
   - IDR 15T–30T: 100% reduction, 15 years
   - Above IDR 30T: 100% reduction, 20 years
9. **Fiscal cost formula:** Investment × 12% (annual profit) × CIT forfeited rate × holiday years.
10. **Post-holiday transition:** Under PMK 69/2024, a 2-year partial CIT reduction (25–50%) applies immediately after the holiday ends. This transition period is *not separately costed* in this analysis.

D. BEPS PILLAR 2 — GLOBAL MINIMUM TAX

11. **Scope criteria:** An operator is classified as Pillar 2 in-scope if its MNE group meets *both*: (i) consolidated group revenue exceeding 750M, and (ii) a group profitability (operating income / revenue) exceeding 10%.
12. **CIT forfeited (Pillar 2 in scope):** Indonesia forfeits only 7% (= 22% statutory − 15% GloBE minimum floor). The remaining 15% is collected by the parent jurisdiction as a top-up tax (Qualified Domestic Minimum Top-up Tax or Income Inclusion Rule).
13. **CIT forfeited (not in scope):** Indonesia forfeits the full 22% statutory rate.
14. **Result:** 18 of 45 facilities (40%) are Pillar 2 in-scope, representing IDR 16.8T (12%) of the total fiscal cost. Pillar 2 meaningfully limits Indonesia's revenue loss only for the in-scope minority.

E. SUPER DEDUCTION — TAX ALLOWANCE (PP 78/2019)

15. **Legal basis:** Government Regulation No. 78/2019 (updated by PMK 81/2024) provides a 30% net income reduction on total realized investment, applied at 5% per year over 6 years starting after the tax holiday ends.
16. **Eligible sectors:** Data centres (KBLI 63111 — digital hosting and data processing) are explicitly included in the 183 qualifying business fields.
17. **Annual deduction:** Investment × 5% (reduces taxable income for 6 years post-holiday).
18. **Taxable income during super deduction period:** Investment × (12% − 5%) = Investment × 7%.
19. **Fiscal cost of super deduction:** Annual deduction × CIT forfeited rate × 6 years (7% for Pillar 2 in-scope; 22% for others).
20. **Exception:** Facilities below IDR 100B (no holiday) receive no post-holiday super deduction benefit under this analysis.

F. SEZ VAT EXEMPTION

21. **Qualifying SEZ:** Only facilities within KEK Nongsa Digital Park (Batam), designated by Presidential Regulation on 8 June 2021. No other facility in the portfolio has confirmed formal KEK status.
22. **VAT rate:** Effective 11% (12% statutory × 11/12 mechanism under PMK-131/2024 for standard capital goods).
23. **Exempt investment basis:** 35% of total investment is assumed to represent VAT-able capital goods (plant and equipment, fit-out). Land, financial instruments, and services subject to reverse-charge are excluded.
24. **VAT exemption formula:** Investment × 35% × 11%.
25. **Four SEZ facilities:** PDG Batam Campus (IDR 0.401T), DayOne Nongsa (IDR 0.258T), Oracle Nongsa (IDR 0.119T), Gaw Capital Batam (IDR 0.018T). Total: IDR 0.796T.

Disclaimer: This analysis is based on publicly available information, operator disclosures, and sector benchmarks. All investment figures, particularly those marked as imputed (`investment_imputed = 1`), carry estimation uncertainty. Fiscal cost figures should be interpreted as indicative order-of-magnitude assessments, not legal or accounting determinations. The interaction between PMK 69/2024 tax holidays, PP 78/2019 tax allowances, and OECD Pillar 2 GloBE rules is subject to Indonesian implementing legislation still under development as of March 2026.

Fiscal Scenario Analysis

Scenarios A & B — Expanded Incentive Cost Projections

March 2026 | GDP reference: IDR 22,139T (2024 BPS); 2030 est. IDR 34,167T (7.5% p.a.)

SCENARIO A — MW EXPANSION TO 2800 MW BY 2030

Scenario A scales the current fiscal cost per MW from the 23 operational facilities (453 MW, IDR 1.97T/yr) to the full 2,800 MW target expected to be in service by 2030, once all under-construction and planned capacity is commissioned.

Methodology: Annual fiscal cost per MW = IDR 1.97T ÷ 453 MW = IDR 4.35B/MW/yr. Extrapolated cost at 2800 MW = 2800 × 4.35B = IDR 12.18T/yr.

Metric	Current (453 MW)	Scenario A — 2800 MW (2030)
Operational MW	453 MW	2,800 MW
Annual fiscal cost	IDR 1.97T	IDR 12.18T
Annual cost (% 2024 GDP)	0.009%	0.055%
Annual cost (% 2030 GDP est.)	—	0.036%
Implied cost per MW	IDR 4.35B/MW	IDR 4.35B/MW
Lifetime total cost	IDR 17.9T	IDR 110.4T
Lifetime cost (% 2024 GDP)	0.081%	0.499%

Note: The extrapolated annual cost (IDR 12.18T) is slightly above the actual computed full-portfolio run-rate (IDR 11.05T/yr) because the operational base is weighted toward non-Pillar-2 entities forfeiting the full 22% CIT, whereas many future facilities (Microsoft, DAMAC, Tencent) are Pillar-2 in-scope and only trigger a 7% CIT forfeiture. The extrapolation therefore represents an upper-bound estimate.

SCENARIO B — VAT EXEMPTION EXTENDED TO ALL UNDER-CONSTRUCTION FACILITIES

Scenario B extends the existing SEZ VAT exemption (currently limited to Nongsa KEK, Batam) to all 11 under-construction facilities not already in a special economic zone. The same formula applies: investment × 35% × 11%.

Facility (UC, non-SEZ)	Investment (IDR T)	VAT Exemption (IDR T)
CGK Campus — Digital Edge (500 MW)	69.75	2.685
Indonesia Central Cloud Region — Microsoft	26.35	1.015
H1 Campus — DCI Indonesia (73 MW)	11.32	0.436
Cikarang Expansion — NeutraDC (60 MW)	7.44	0.286
IKDC1 — IndoKeppel	6.59	0.254
Jakarta Campus — EdgeConneX (200 MW)	6.26	0.241
LG SM DC — LG Sinar Mas (18 MW)	4.65	0.179
STT Jakarta-2 — ST Telemedia (24 MW)	3.72	0.143
H2 Pertiwi Lestari Ph.1 — DCI (600 MW)	1.75	0.067
Cibitung Campus — PDG (22 MW)	1.71	0.066
Jakarta 2 Annex — NTT DATA (12 MW)	1.58	0.061
New VAT total (non-SEZ UC)	**140.12**	**5.433**
Existing SEZ VAT (Nongsa KEK)	—	0.796
Grand total VAT (Scenario B)	—	**6.229**

Digital Edge CGK Campus (IDR 2.685T) accounts for **49%** of the new VAT exemption cost, reflecting its 500 MW scale. Annual cost amortized over a 3-year build period = IDR 1.811T/yr (new) + IDR 0.265T/yr (existing SEZ) = IDR 2.076T/yr total.

COMBINED SCENARIO SUMMARY

Scenario	Annual Cost (IDR T/yr)	% 2024 GDP	% 2030 GDP (est.)	Total Cost (IDR T)
Current baseline (453 MW operational)	1.97	0.009%	—	17.9
Scenario A — 2800 MW by 2030	12.18	0.055%	0.036%	110.4
Scenario B — VAT to all UC (incremental)	1.81	0.008%	0.005%	5.4
Scenario B — VAT total (incl. existing SEZ)	2.08	0.009%	0.006%	6.2
Combined A + B	**14.00**	**0.063%**	**0.041%**	**115.9**

Combined A+B = Scenario A (full MW ramp) plus incremental new VAT from Scenario B. Annual costs for Scenario B reflect the amortised VAT over the 3-year construction window only; the one-off nature means the total lifetime cost is IDR 5.4T (B only) or IDR 115.9T (A+B combined). GDP 2024 = IDR 22,139T (BPS); 2030 GDP estimated at IDR 34,167T assuming 7.5% nominal annual growth.